

POLICY & REGULATION

Mamdani's EDC Picks: The Capital Allocation Question Behind the Odd Couple

Shorris and Khan signal a city government that wants to build and regulate simultaneously. That tension is the story.

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The Economic Development Corporation is not a bank. It is the closest thing New York City has to one. It controls land, issues bonds, negotiates tax incentives, and decides which projects get the city's institutional weight behind them. Mayor Zohran Mamdani has now named two people to run it: Anthony Shorris, a McKinsey partner and three-administration veteran, as CEO, and Lina Khan, the former Federal Trade Commission chair, as board chair. The pairing is being described as a dream team. It is more accurately described as a capital allocation question.

The tension is not personal. Shorris is described as mild-mannered. Khan built a national reputation by blocking mergers and investigating corporate landlords. The question is whether an agency whose mission is to facilitate private investment can function when its board chair has spent years arguing that large enterprises require adversarial oversight. The EDC does not write checks. It creates the conditions under which capital decides to deploy or stay on the sidelines. Those conditions include predictability.

Shorris brings a track record of operating inside the city's development machinery. He has held senior roles under Koch, Bloomberg, and de Blasio. He sat on the board of the Regional Plan Association alongside Douglas Durst and NYCHA Chair James Rubin. At McKinsey, he worked on health care and public sector consulting, including a Department of Social Services contract that Mamdani later canceled as a cost-saving measure. The irony was not lost on the mayor, who noted at Wednesday's announcement that hiring Shorris directly saves the city the consulting fee.

Khan's appointment is the more consequential signal for capital markets. Her FTC tenure was defined by aggressive merger enforcement and a focus on junk fees, a priority she also pursued as a Mamdani advisor. She resurrected a probe into Zillow's acquisition of ShowingTime after the deal had already been cleared. She sought public input on single-family rental mega-investors. The message to institutional capital is not subtle: the city's economic development arm will now be chaired by someone who views concentrated ownership as a problem to be solved, not a partner to be cultivated.

Steven Fulop, president and CEO of the Partnership for New York City, said the announcement

sends a mixed message. The Real Estate Board of New York voiced support for Shorris while implicitly noting the tension. That is the polite version. The less polite version is that capital allocators reading this appointment will ask a straightforward question: does the EDC still function as a deal facilitator, or has it become a regulatory gatekeeper with a development budget?

The answer matters because the EDC's tools are real. It can assemble sites, issue tax-exempt bonds, negotiate PILOT agreements, and provide the kind of public-private coordination that makes large-scale development feasible. Those tools are only valuable if the private sector trusts that the terms will hold. A board chair with a demonstrated skepticism of large corporate actors does not inherently break that trust, but it does introduce a new variable into the underwriting. Developers underwrite political risk. This appointment adds a line item.

Deputy Mayor for Economic Justice Julie Su argued that Shorris and Khan share a worldview centered on uplifting working New Yorkers. That may be true. But shared values do not resolve the structural tension between facilitating investment and regulating the investors. The EDC's job is to move capital into physical projects. Khan's professional identity is built on slowing capital down to examine its consequences. Those are not compatible instincts unless the administration has a clear framework for when each applies.

Mamdani described his expectations as Olympic-level. That is the right metaphor. The Olympics require coordination across competing interests, massive public investment, and a timeline that does not bend. The EDC under Shorris and Khan will need to deliver projects that require private capital, public subsidy, and regulatory approval simultaneously. The question is not whether they can agree on goals. It is whether the capital markets will price the uncertainty of that arrangement as a discount or a premium.

The market should test this by watching the first major EDC-led RFP under the new leadership. If the terms are conventional and the process is predictable, the tension will have been managed. If the terms include new affordability requirements, tenant protections, or ownership restrictions that shift the risk-return profile, the market will have its answer. The EDC does not need to choose between

development and regulation. It does need to be clear about which one it is optimizing for. Capital will decide the rest.

SOURCES

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<https://therealdeal.com/new-york/2026/07/23/mamdani-taps-shorris-khan-as-edc-heads/>

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